

Contemporary Mgt Principles

Week 1 – Managerial Decision Making

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Learning Objectives

- 1-1** Summarize the major challenges of managing in the new competitive landscape.
- 1-2** Describe the sources of competitive advantage for a company.
- 1-3** Explain how the functions of management are evolving in today's business environment.
- 1-4** Compare how the nature of management varies at different organizational levels.
- 1-5** Define the skills you need to be an effective manager.
- 1-6** Understand the principles that will help you manage your career.

Managing in a Competitive World

Four ongoing challenges that characterize the business landscape:

1. Globalization.
2. Technological Change.
3. Knowledge Management.
4. Collaboration

Globalization

Today's enterprises are global, with offices and production facilities all over the world.

A company's talent and competition can come from anywhere.

Globalization affects small and large companies.

Globalization has changed the face of the workforce.

Technological Change

Technology and business:

- Online customer engagement, artificial intelligence (AI), data protection, and privacy.
- Challenges created by rapid changes.
- The Internet creates opportunities but also introduces threats.

Knowledge Management

Knowledge workers: Workers whose primary contributions are ideas and problem-solving expertise.

Knowledge management: Finding, unlocking, sharing, and capitalizing on the most precious resources of an organization:

- Expertise.
- Skills.
- Wisdom.
- Relationships.

Collaboration

Collaboration requires productive communications among different departments, divisions, or subunits of the organization.

Coopetition: simultaneous competition and cooperation among companies with the intent of creating value.

Managing for Competitive Advantage

A key to understanding the success of a company is how well it both creates and sustains competitive advantage.

- Innovation.
- Quality.
- Service.
- Speed.
- Cost Competitiveness.
- Sustainability.

Managing for Competitive Advantage: Innovation

A firm must:

- Adapt to changes in consumer demands and to new competitors.
- Continually innovate—especially important in the global marketplace.
- **Innovation** comes from people and must be a strategic goal.

Managing for Competitive Advantage: Quality

Quality is the excellence of your product (goods or services).

Historically, quality referred to attractiveness, lack of defects, and dependability.

Today it is about *preventing* defects before they occur, *achieving zero defects* in manufacturing, and designing products for quality.

A philosophy of *continuous improvement*.

Managing for Competitive Advantage: Service and Speed

Service:

- Giving customers what they want or need, when they want it.
- Continually meeting the needs of customers and establishing mutually beneficial long-term relationships.
- Making it easy and enjoyable for the customer.

Speed:

- Fast and timely execution, response, and delivery of products.

Managing for Competitive Advantage: Cost and Sustainability

Cost competitiveness:

Keeping costs low to achieve profits and be able to offer prices that are attractive to consumers.

- Companies must pay close attention to cost because consumers can compare prices from thousands of competitors.

Sustainability:

Minimizing the use and loss of resources, especially those that are polluting and nonrenewable.

Exhibit 1.1 Staying ahead of the Competition



[Access the text alternative for slide images.](#)

The Functions of Management

Management

Working with people and resources to accomplish organizational goals *efficiently and effectively*.

Rosalind Brewer, former president and CEO of Sam's Club, focused on building a dynamic organization. She recently was appointed COO and group president of Starbucks.



Sarah Bentham/AP Images

The Four Functions of Management

1. **Planning:** Delivering Strategic Value.

- Systematically making decisions about goals and activities to be pursued.

2. **Organizing:** Building a Dynamic Organization.

- Assembling and coordinating resources needed to achieve goals.

3. **Leading:** Mobilizing People.

- Efforts to stimulate high performance by employees.

4. **Controlling:** Learning and Changing.

- Monitoring performance and making needed changes.

SPOTLIGHT ON . . . Business for the Better Ashoka's Bill Drayton

In Drayton's view, anyone can be a social entrepreneur. All it takes, he says, is the ability to see a problem, put others' skepticism aside, and allow yourself the time to inch your way first toward a vision and then to a solution.

1. Should every manager have the responsibility to do good and do well? Why or why not?
2. Drayton argues that anyone can be a social entrepreneur. What sort of problems would you wish to solve?

Performing All Four Management Functions

A typical day for a manager is not neatly divided into the four functions.

Interruptions, meetings, and firefighting prevent a manager from smoothly tending to these functions.

Good managers devote adequate attention and resources to *all four* management functions.

Management Levels

Top-Level Managers

Middle-Level Managers

Frontline Managers

Exhibit 1.2 Managerial Roles: What Managers Do

Decisional Roles	Informational Roles	Interpersonal Roles
Entrepreneur: search for new business, initiate new projects	Monitor: seek information, serve as the center of communication	Leader: staffing, developing, motivating people
Disturbance handler: take corrective action during crises	Disseminator: transmit information from source to source	Liaison: maintain network of outside contacts
Resource allocator: provide funding and other resources, make significant organizational decisions	Spokesperson: speak on behalf of organization	Figurehead: perform symbolic duties
Negotiator: negotiate with internal and external parties	n/a	n/a

Adapted from Mintzberg, H., The Nature of Managerial Work. New York: Harper & Row, 1973, pp. 92–93.

Must-Have Management Skills

Technical: ability to perform a specialized task involving a particular method or process

Conceptual and Decision: skills related to abilities that help identify and resolve problems

Interpersonal and Communication: people skills that represent the ability to lead, motivate, and communicate effectively with others

You and Your Career

Emotional intelligence:

The skills of understanding yourself, managing yourself, and dealing effectively with others.

Social capital:

Goodwill stemming from your social relationships.

- Be both a specialist and a generalist.
- Be self-reliant.
- Connect with people.
- Actively manage your relationship with your organization.
- Survive and thrive.

Exhibit 1.4 Two Relationships: Which Will You Choose?

#1

**You as a passive
employee**



#2

**You as an active contributor
in a mutually beneficial relationship**

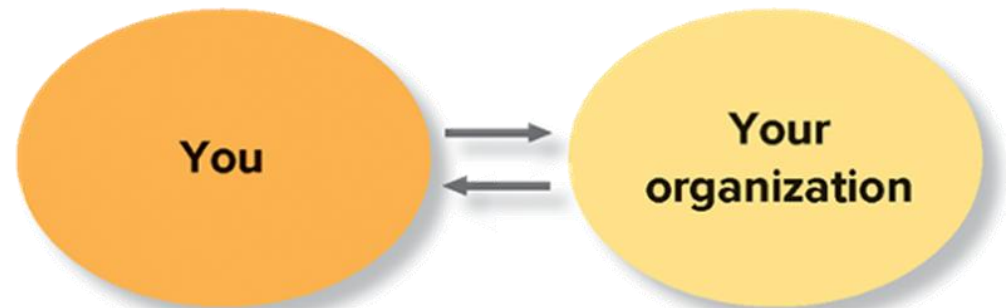


Exhibit 1.5 Managerial Action Is Your Opportunity to Contribute



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Common Practices of Successful Executives

They convey to others “Why we do what we do.”

They ask, “What needs to be done?” not just “What do I want to do?”

They write an action plan. They don’t just think, they do, based on a sound, ethical plan.

They take responsibility for decisions.

They take responsibility for decisions.

Management in Action In-N-Out's Lynsi Snyder: Organizing for Efficiency

Good managers deliver strategic value for the present and the future.

In-N-Out Burger has stuck to its core principle of using never frozen ground beef and fresh baked buns.

In-N-Out Burger does not franchise and has grown more slowly than McDonald's, but generates twice the revenue per store with a higher profit margin.

In Review

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